

MERGE 4 DESIGN LLC × L.E.E.P., INC.

FORWARD HOME PROGRAM

Investor Summary Memorandum

City of Wilmington Vacant Lot Initiative · May 2026 · Confidential

40.4% Developer margin (Type D)	31 wks Design to certificate of occupancy	\$1 Land cost per lot (City program)	\$948K Net return · 10-unit cluster
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L.E.E.P., Inc. · Gwenevere Motley, Executive Director · Trained installation workforce

The Opportunity

The City of Wilmington has identified 120+ vacant lots across the city where it will cover all site work and utility infrastructure and convey lots to qualified developers for \$1 each. A 10-lot cluster has been identified for M4D's first engagement, pending site control documentation. The City requires homes sellable at \$220K–\$250K. M4D's Forward Home system delivers that price point with a developer margin that production builders do not achieve on comparable product anywhere in the United States.

This is not a subsidized housing play. The City's contribution is land and site work — both already allocated in the vacant lot program budget. Private capital builds the homes, earns a 40%+ developer margin, and recycles equity into the next project on a 31-week build cycle.

THE MARKET GAP: The national average new production home delivers HERS 55 in vinyl siding with builder-grade windows. The Forward Home Tier 1 delivers a non-combustible, R-21+ effective wall, panelized, Energy Star automatic assembly with tilt-turn windows and fiber cement cladding — at \$220K–\$250K. No production builder does this anywhere in the US today. That gap is what creates the margin.

The Investment

Trigger: Documented site control (City letter of intent on the identified lot cluster) activates the equity commitment. No equity is deployed until site control is confirmed. The capital structure is straightforward:

Capital component	Amount	Notes
Investor equity	\$500,000	Deployed at LOI. Covers: (1) 20% LTC gap ~\$280K, (2) pre-construction soft costs ~\$117K, (3) working capital reserve ~\$103K.
Construction loan (80% LTC)	~\$1,121,000	Standard Delaware construction lending at 10.25% interest-only. Draw against verified M4Di ROM.

City land + site/utilities	\$10 (10 lots × \$1)	City of Wilmington vacant lot program. Site work and utility infrastructure covered by City.
TOTAL PROJECT COST	~\$1,401,000	10 units × \$140,122/unit. M4Di G0 ROM verified.
Gross sale revenue	\$2,350,000	10 units × \$235,000 average. Within City's \$220K–\$250K target range.
NET PROJECT MARGIN	\$948,777	After all costs, loan repayment, equity return. Margin %: 40.4%.

EQUITY RECYCLING: The \$500K equity commitment is returned at CO along with its share of the net margin. On a 31-week build cycle, the same capital can fund sequential projects — or be redeployed in parallel with staggered starts. Two simultaneous projects at a 2-month stagger: \$948K additional net margin in approximately 9 months from first site control.

Returns by Configuration

Two configurations are fully proformed and M4Di-verified. Type A is designed for small-lot or minority developer entry with a lower equity requirement and proportionally higher margin percentage. Type D is the 10-unit pilot for the City's identified cluster.

Configuration	Equity in	Build cost / unit	Net margin / unit	Margin %
Type A — 4 units (single lot)	\$180,000	\$111,929	\$118,071	51.3%
Type D — 10 units (lot cluster)	\$500,000	\$140,122	\$94,878	40.4%

Note: Build costs reflect M4Di G0 ROM at ±25% confidence. Soft costs disaggregated per CBai MEP Workflow SOP v1: A&E fee, MEP PE fee (CBai-assisted), permits, and M4Di OI Tool — not a lump sum.

Pipeline — Why This Accelerates

The 31-week build cycle is the accelerant. The first project establishes the Claymont template: a fully coordinated MEP package, engineered structural system, and stamped permit set that every subsequent project reuses at G1. The second Forward Home project starts with the template pre-loaded — design and permit phase compresses, PE fees drop 40–50%, and build schedule tightens further.

Sequential recycling (one \$500K commitment): Equity returns at each CO and redeploys into the next project.

Projects	Units	Equity deployed	Cumulative net	Timing (sequential)
1	10	\$500,000	\$948,777	7 months

2	20	\$500,000*	\$1,897,554	14 months
3	30	\$500,000*	\$2,846,331	22 months
5	50	\$500,000*	\$4,743,885	36 months

* Sequential projects: equity recycled after CO. Parallel projects require staggered equity deployment but shorten total timeline. 5 projects, 2-month stagger: ~\$4.7M cumulative net in approximately 15 months.

TEMPLATE COMPOUNDING: After Claymont G4 closeout (target Q4 2026), every subsequent Forward Home project using the same structural system starts at schematic design with the MEP package pre-loaded. PE engagement compresses to G3 review and stamp only — 40–50% of full-service fee. Each project delivered faster and cheaper than the one before it.

Build Schedule — The Speed Advantage

The Forward Panel system eliminates the sequential trade mobilizations that create schedule drag in conventional construction. The 4-person L.E.E.P. crew installs structural sheathing, weather-resistive barrier, air barrier, and continuous insulation in one operation. What takes four separate subcontractor visits in stick frame takes one.

Build method	Total schedule	vs. stick frame	Loan carry saved (10 units)	Why it's faster
4Ward-SIB Forward Panel (M4D)	31 weeks	8 wks	~\$65K	Panels arrive site-ready. One crew installs sheathing, WRB, CI, and air barrier simultaneously.
Standard SIP panelized	35 weeks	4 wks	~\$26K	Panel systems faster than stick but require separate WRB and CI layer installation.
Stick frame (conventional)	39 weeks	—	Baseline	Separate trades: framers, wrap sub, insulation sub, CI layer. Sequential scheduling.

Full Cost Stack — Line by Line

Cost component	Type A · 4 units (1,050 SF/unit · \$230K sale)	Type D · 10 units (1,350 SF/unit · \$235K sale)
4Ward-SIB Forward Panel system	\$43,680 (\$32,640 total)	\$42,000 (\$420,000 total)
Foundation / structural	\$21,777 (\$87,108 total)	\$28,000 (\$280,000 total)
MEP systems (heat pump, plumbing, elec.)	\$14,774 (\$59,094 total)	\$19,000 (\$190,000 total)

Finishes / millwork / appliances	\$17,892 (\$71,568 total)	\$23,000 (\$230,000 total)
Soft costs (A&E, MEP PE, permits, M4Di)	\$11,700 (\$46,800 total)	\$11,700 (\$117,000 total)
Contingency (8%)	\$8,787 (\$35,148 total)	\$9,896 (\$98,960 total)
Loan carry (31 wks @ 10.25%, 80% LTC)	\$3,319 (\$13,276 total)	\$6,531 (\$65,308 total)
TOTAL BUILD COST	\$112K/unit (\$447K total)	\$140K/unit (\$1.40M total)
Sale price	\$230K/unit (\$920K total)	\$235K/unit (\$2.35M total)
NET DEVELOPER MARGIN	\$118K/unit (\$472K total)	\$95K/unit (\$949K total)
Developer margin %	51.3%	40.4%
Land cost (City program)	\$1/lot	\$1/lot
City provides	Site work + utilities	Site work + utilities

All per-SF rates are blended installed rates per gross floor SF. Panel rate (\$31.11/SF) back-calculates from \$42,000/unit installed at 1,350 SF. Source: M4Di ALDDB unit price library, Barricade INDEVCO ROM May 2026, Claymont AE24-002 reference project.

What Sets This Apart

Differentiator	What it means for your investment
Non-combustible panel system	Barricade® Thermo-Brace® SIB™ — fiberboard face, not OSB. Fire-resistant, moisture-resistant, 30-year warranted. Not one production builder in the US delivers this assembly at \$220K–\$250K.
Material cost advantage	The Forward Panel replaces four separate assembly layers (sheathing, house wrap, air barrier, continuous insulation) in one step. Installed cost: \$3–\$5/SF vs. \$7.10–\$11.20/SF for equivalent stick-frame assembly. The panel is cheaper than what it replaces.
31-week design-to-CO	8 weeks faster than stick frame. At 10.25% on \$1.4M construction loan, 8 weeks = ~\$65K in avoided carry. Faster cycle = faster equity recycling for the next project.
\$1 land + City site work	City of Wilmington covers site infrastructure. Vacant lot program: 120+ parcels identified citywide, ~10-lot cluster targeted for first engagement. Land cost is effectively zero.
Verified cost methodology	M4Di OI Tool adopted by City of Wilmington OED as independent cost-verification standard for A&E Feasibility Grant program. Every ROM in this package is auditable.
Active proof of concept	AE24-002 (1316–1324 N. Claymont St., Wilmington) — 4-unit CLT/SIP hybrid. Foundation permit approved May 6, 2026. Panels arriving June 22, 2026. This is not a concept. It's in production.
L.E.E.P. trained workforce	L.E.E.P., Inc. provides the installation workforce through the M4Di Academy Forward Home program. Locally trained, mission-aligned crews. Panel installation is the skill — not decades of trade apprenticeship.
Scalable to any market	The Forward Building System is not a Wilmington-only product. The same panel platform scales from forward housing (\$220K) to mid-market to luxury (\$300K+) without changing the core system. First project establishes the template. Every subsequent project compresses cost and schedule further.

Active Proof of Concept

AE24-002 — 1316–1324 N. Claymont St., Wilmington, DE 19802

- **Client:** L.E.E.P., Inc. / Gwenevere Motley
- **System:** CLT/SIP hybrid — TerraLam TL500S 5-ply CLT + 4Ward-SIB Forward Panel enclosure
- **Foundation permit:** Approved May 6, 2026
- **Structural hurdles cleared:** May 5, 2026 (live coordination with panel engineers and structural engineer of record)
- **CLT panels:** In production
- **Panel arrival on site:** June 22, 2026

This project is the physical proof that the Forward Building System is buildable, permitted, and code-compliant in the City of Wilmington. It is also the Claymont template — once this project reaches G4 closeout, every subsequent Forward Home project inherits its MEP package, structural engineering, and permit documentation at no additional design cost.

OED ADOPTION: M4Di's OI Tool was adopted by the City of Wilmington Office of Economic Development (OED) in May 2026 as the independent cost-verification standard for its A&E Feasibility Grant program. The cost numbers in this memo are not claims — they are verified under the same methodology OED uses to underwrite other developers' proposals.

The Ask

The request is narrow and conditional:

- **\$500,000 equity commitment, triggered by site control.** No capital is deployed until the City's letter of intent identifying the lot cluster is in hand. Site control is the only condition.
- **Structure is negotiable.** Equity stake, profit split, preferred return, note structure — open to discussion based on investor's preferences and tax position.
- **Rental alternative available.** If the investor prefers a hold strategy, the 10-unit cluster stabilizes at approximately \$102,300 NOI and a \$1,650,000 asset value at a 6.2% cap rate. Rental path and for-sale path are both modeled in the companion proforma.
- **First project is the anchor.** The Wilmington City program is the proof of concept and template engine. M4D and Merge4Ward are actively pursuing parallel capital paths (federal stack, grant funding, private equity) for subsequent projects. The investor in the first deal has first-look rights on the pipeline.

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Next steps:

1. Review companion proforma
M4D_ForwardHome_Proforma_May2026.xlsx
2. Site visit — AE24-002 Claymont (panels arriving June 22)
3. Confirm equity structure and return preference
4. City LOI issued → equity triggered → predevelopment begins